Republic of the Philippines
ENERGY REGULATORY COMMISSION
Pasig City

RESOLUTION NO. 28, SERIES OF 2025

A RESOLUTION APPROVING THE ADJUSTMENTS TO THE FEED IN TARIFF (FIT) FOR 2021 to 2025

WHEREAS, it is the policy of the State to accelerate the exploration and development of renewable energy resources, and increase its utilization by providing fiscal and non-fiscal incentives, and establish the necessary infrastructure and mechanisms;

WHEREAS, Section 7 of Republic Act No. 9513 (R.A. 9513), entitled "An Act Promoting the Development, Utilization and Commercialization of Renewable Energy Resources and for Other Purposes" otherwise known as the Renewable Energy Act of 2008 and Section 5 of its Implementing Rules and Regulations (IRR), mandate the Energy Regulatory Commission (ERC), in consultation with the National Renewable Energy Board (NREB), to promulgate, within one (1) year from effectivity of the Act, the Feed-in Tariff (FIT) System;

WHEREAS, on 12 July 2010, the ERC approved and adopted Resolution No. 16 Series of 2010, entitled "Resolution Adopting the Feed-In Tariff Rules" (FIT Rules), which was later amended by Resolution No. 15, Series of 2012, dated 19 November 2012;

WHEREAS, Section 2.10 of the FIT Rules provides that the ERC shall adjust the FIT annually for the entire period of its applicability to allow pass-through of local inflation and foreign exchange (FOREX) rate variations;

WHEREAS, such adjustment shall employ a simple benchmarking indexation formula to apply to all technologies[1];

WHEREAS, Section 5 of the FIT Rules likewise provides for the mechanism to determine the FIT Rate;

[1] Section 2.10, ERC Resolution No. 16, Series of 2010, Feed-In Tariff Rules (FIT Rules).

WHEREAS, the Commission rendered a *Decision* in ERC Case No. 2011-006 RM, approving with modification the petition for the adoption of the FIT for electricity generated from biomass, run-of-river hydropower, solar and wind energy resources;

WHEREAS, the Commission, pursuant to the above-stated *Decision*, issued Resolution No. 10, Series of 2012, entitled "Resolution Approving the Feed-In Tariff Rates", embodying therein the approved initial FIT Rates per RE technology as follows:

	ERC-APPROVED FIT RATE (Php/kWh)	**ERC-APPROVED DEGRESSION RATE**
WIND	8.53	0.5% after year 2 from effectivity of FIT
BIOMASS	6.63	0.5% after year 2 from effectivity of FIT
SOLAR	9.68	6.0% after year 1 from effectivity of FIT
HYDRO	5.90	0.5% after year 2 from effectivity of FIT

WHEREAS, the Commission, in computing for the above FIT Rates, used the Discounted Cash Flow (DCF) Model, as proposed by NREB, and as contained in its *Decision* in ERC Case No. 2011-006 RM;

WHEREAS, the DCF Model already incorporated the FIT Adjustment Formula as provided in Section 2.10 of the FIT Rules;

WHEREAS, the Commission, in its *Decision* in ERC Case No. 2011-006 RM stated that:

> *"The Commission validated NREB's DCF model and its underlying inputs and assumptions and found the same to be acceptable and consistent with the FIT Rules. NERA Economic Consulting, an independent consultant commissioned by the Asian Development Bank (ADB), to conduct an analysis of the feed-in tariff proposal of NREB, also tested the DCF model used by NREB by coming out with an independent calculation using the same parameters assumed by NREB. The resulting FIT in NERA's test model is identical to the FIT in the DCF model of NREB. Moreover, PricewaterhouseCoopers Services LLP, in its report produced for the ADB, stated that the discounted cash flow model used by NREB is consistent with the methodologies used in other jurisdictions. The Commission took note of the findings of these experts in its validation of NREB's proposed model for calculating the FITs per technology."*

WHEREAS, if the FIT Adjustment formula was not incorporated in the DCF model, the resulting FIT rates would have been higher than the previously approved initial FIT rates;

WHEREAS, in its Decision in ERC Case No. 2011-006 RM, the ERC declared that *"the payment of the approved FIT rates to the eligible RE Developers shall commence upon the effectivity of the Feed-in Tariff Allowance (FIT-All), which shall be determined by the Commission at a later date after due proceedings thereon."*

WHEREAS, on 16 December 2013, the Commission issued Resolution No. 24, Series of 2013, entitled "A Resolution Adopting the Guidelines on the Collection of the Feed-in Tariff Allowance (FIT-All) and Disbursement of the FIT-All Fund (FIT-All Guidelines)";

WHEREAS, the FIT-All Guidelines provide for the determination and computation of the FIT-All, and the procedure for the collection and disbursement of the FIT-All Fund to the eligible RE Developers;

WHEREAS, guided by the FIT-All Guidelines, the National Transmission Corporation (TransCo) filed the initial (2014-2015) FIT-All Application on 30 July 2014;

WHEREAS, the Commission provisionally approved TransCo's *Application* in its Order dated 07 October 2014, setting the FIT-All rate at PhP0.0406/kWh, which became effective in the January 2015 billing for all On-Grid electricity consumers;

WHEREAS, consistent with the effectivity of the *Order* dated 07 October 2014, TransCo commenced the collection of the FIT-All charge in January 2015;

WHEREAS, the provisionally approved FIT-All rate of PhP 0.0406 per kWh was made permanent by the Commission in its *Decision* dated 29 September 2015, promulgated on 10 December 2015;

WHEREAS, on 26 May 2020, the Commission promulgated ERC Resolution No. 6, Series of 2020, entitled *A Resolution Approving the Adjustment to the Feed-In-Tariff (FIT)* and resolved to compute for the FIT Adjustment using the formula as provided under the FIT Rules;

$$Adjustment = \left\{z \ x \ \frac{RPCPIn}{RPCPIo}\right\} + \left\{y \ x \ \frac{FEAn}{FEAo}\right\}$$

Where:

Z	percentage share of local capital
Y	percentage share of foreign capital
$RPCI_n$	the arithmetic average of the monthly values of the Republic of the Philippines Consumer Price Index for the 12 calendar months immediately preceding the 6 calendar months immediately preceding the Adjustment Date as published by the National Statistic Coordination Board of the Philippines in http://wwnscb.gov.ph
$RPCI_o$	the arithmetic average of the monthly values of the Republic of the Philippines Consumer Price Index, base period calendar year 2009, which is 160
FEA_n	the arithmetic average of the month-end reference rates between the Philippine peso and the US Dollar for 12 calendar months immediately preceding the 6 calendar months immediately Preceding the Adjustment Date as published by the Treasury Department of the Bangko Sentral ng Pilipinas
FEA_o	the arithmetic average of the month-end reference rates between the Philippines Peso and the US Dollar for the calendar year 2009 which is 47.8125.
Adjustment Date	January 1 of year n

WHEREAS, considering that the actual implementation and full operations of the FIT System in January 2015, the Commission, computed for the FIT Adjustment using the 2014 base year;

WHEREAS, the Commission used the average 2012 rebased values for Calendar Year 2014 from the Bangko Sentral ng Pilipinas at 106.3 as the $RPCPI_o$;

WHEREAS, the Commission derived the FEA_o using the arithmetic average of the month-end reference rates between the Philippine Peso and the US Dollar for the calendar year 2014 at 44.4518;

WHEREAS, the resulting FIT rates using the 2014 base year are as follows:

Technology		2014	2015	2016	2017
		(Yr 1 Entrant)		(Yr 2 Entrant)	(Yr 3 Entrant)
Biomass	2014-2015	6.6300			
	2016	6.6502		6.6300	
	2017	6.8539		6.6502	6.5969
	2018	7.1097		6.8539	6.6170
	2019	7.4132		7.1097	6.8197
	2020	7.6629		7.4132	7.0742
ROR Hydro	2014-2015	5.9000			
	2016	5.9218		5.9000	
	2017	6.0710		5.9218	5.8705
	2018	6.2798		6.0710	5.8922
	2019	6.5392		6.2798	6.0406
	2020	6.7772		6.5392	6.2484
Solar		Solar 1	Solar 2		
	2014-2015	9.6800	8.6900		
	2016	9.7015	8.7093	8.6900	
	2017	10.0661	9.0366	8.7093	
	2018	10.4788	9.4071	9.0366	
	2019	10.9441	9.8248	9.4071	
	2020	11.2758	10.1226	9.8248	
Wind		Wind 1	Wind 2		
	2014-2015	8.5300	7.4000		
	2016	8.5525	7.4195		
	2017	8.8442	7.6725		
	2018	9.1905	7.9730		
	2019	9.5907	8.3202		
	2020	9.8976	8.5864		
Bangui 1 & 2	2014-2015	5.9600			
	2016	5.9757			
	2017	6.1795			
	2018	6.4215			
	2019	6.7011			
	2020	6.9156			

WHEREAS, Resolution No. 6, Series of 2020 provides the FIT adjustments, for the years 2016, 2017, 2018, 2019, and 2020 using 2014 as the base year for the CPI and FOREX, to be recovered for a period of five (5) years, and further provides for the continued use of 2014 as the base year for the CPI and FOREX in succeeding adjustments;

WHEREAS, on 23 June 2020, the Commission rendered a *Decision* in ERC Resolution No. 2014-185 RC, approving the FIT rate of Vivant-Sta. Clara Northern Renewable Generation Corporation's Bakun Hydroelectric Power Plant equivalent to PhP5.6715/kWh, subject to adjustments of the FIT rate using the base year for CPI and FOREX for calendar year 2020;

WHEREAS, on 06 June 2022, the DOE issued the Certificate of Endorsement for Feed-In-Tariff Eligibility in favor of Solar Power Project of San Carlos Sun Power (SACASUN) for the Second Round of Solar FIT at the rate of PhP8.69/kWh;

WHEREAS, on 15 August 2023, the Commission approved and adopted Resolution No. 14, Series of 2023, entitled *A Resolution Adopting the Feed-In tariff (FIT) Rate for the Extension Period (3rd Round) of Run-of-River (ROR) Hydropower until the Full Subscription of the 250MW Installation Target*, and resolved that the ROR Hydro FIT3 shall be Php6.1110/kWh for projects from 01 January 2020 to 31 December 2021, subject to an annual degression of 0.5% until full subscription of the 250MW installation target;

WHEREAS, since the implementation of FIT adjustment in 2020, no adjustments have been made for 2021 onwards;

WHEREAS, the Commission used the following capital and foreign shares based on its issuances:

FIT Round	**Base FIT Rate**	**Local Capital Share**	**Foreign Capital Share**
Biomass (2014-2015)	6.6300	47%	53%
Biomass (2016)	6.6300	47%	53%
Biomass (2017)	6.5969	47%	53%
Biomass (2018)	**6.1900**	**48%**	**52%**
Biomass (2019)	**6.1900**	**48%**	**52%**
Surallah (2020)	**6.1900**	**48%**	**52%**
ROR Hydro (2014-2015)	5.9000	58%	42%
ROR Hydro (2016)	5.9000	58%	42%
ROR Hydro (2017)	5.8705	58%	42%
ROR Hydro (2018)	**5.8705**	**89%**	**11%**
ROR Hydro (2019)	**5.8705**	**89%**	**11%**
ROR Hydro (2020)	**6.1110**	**92%**	**8%**

FIT Round	Base FIT Rate	Local Capital Share	Foreign Capital Share
ROR Hydro (2021)	**6.1110**	**92%**	**8%**
ROR Hydro (2022)	**6.0804**	**92%**	**8%**
ROR Hydro (2023)	**6.0500**	**92%**	**8%**
ROR Hydro (2024)	**6.0198**	**92%**	**8%**
ROR Hydro (2025)	**5.9897**	**92%**	**8%**
Solar (2014)	9.6800	33%	67%
Solar (2015)	8.6900	33%	67%
Solar (2016)	8.6900	33%	67%
Solar (SACASUN)	**8.6900**	**33%**	**67%**
Wind (2014)	8.5300	40%	60%
Wind (2015)	7.4000	40%	60%
Bangui (2014)	5.9600	40%	60%
Vivant (2020)	**5.6715**	**58%**	**42%**

WHEREAS, the Commission used the values issued by the Philippine Statistics Authority for January 2018 to August 2025 for the Republic of the Philippines Consumer Price Index ($RPCI_n$);

RCPIn	2012=100	2018=100
2018	109.900	
2019	113.842	
2020	119.217	
2021		103.492
2022		106.9167
2023		111.3250
2024		119.3333
2025		124.3250

WHEREAS, the Commission used the published values by the Treasury Department of the Bangko Sentral ng Pilipinas for the Foreign Exchange Rates (FEAn);

2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
44.4633	46.8644	49.1851	51.5622	52.7289	51.0018	48.4084	51.4408	56.1441	56.6913

NOW THEREFORE, the Commission, after due deliberation, hereby **RESOLVES**, as it is hereby **RESOLVED**, to **APPROVE** and **ADOPT**, FIT adjustments for the years 2021, 2022, 2023, 2024, and 2025 using 2014 as the base year for the CPI and FOREX, and to be recovered for a period of five (5) years, starting CY 2026.

It is **FURTHER RESOLVED** that the year 2014 shall be used as the base year for the CPI and FOREX in succeeding adjustments. This shall, however, exclude plant-specific FITs established under Section 1.4 of the FIT Rules which may have a different base year—such as the one provided in ERC Resolution No. 2014-185 RC.

FIT Round	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Biomass (2014-2015)	6.63	6.63	6.6502	6.8539	7.1097	7.4132	7.6629	**7.0655**	**6.9609**	**7.3298**	**7.9363**	**8.1259**
Biomass (2016)			6.63	6.6502	6.8539	7.1097	7.4132	**7.6629**	**7.0655**	**6.9609**	**7.3298**	**7.9363**
Biomass (2017)				6.5969	6.6170	6.8197	7.0742	**7.3761**	**7.6247**	**7.0302**	**6.9261**	**7.2932**
Biomass (2018)					6.1900	**6.2092**	**6.3964**	**6.6334**	**6.9157**	**7.1504**		
Biomass (2019)						6.1900	**6.2092**	**6.3964**	**6.6334**	**6.9157**	**7.1504**	
Surallah (2020)							6.1900	**6.2092**	**6.3964**	**6.6334**	**6.9157**	**7.1504**
ROR Hydro (2014-2015)	5.9	5.9	5.9218	6.0710	6.2798	6.5392	6.7772	**6.1747**	**6.1404**	**6.4514**	**6.9714**	**7.1626**
ROR Hydro (2016)			5.9	5.9218	6.0710	6.2798	6.5392	**6.7772**	**6.1747**	**6.1404**	**6.4514**	**6.9714**
ROR Hydro (2017)				5.8705	5.8922	6.0406	6.2484	**6.5065**	**6.7433**	**6.1439**	**6.1097**	**6.4191**
ROR Hydro (2018)					5.8705	**5.9030**	**5.9613**	**6.1162**	**6.3445**	**6.6256**		
ROR Hydro (2019)						5.8705	**5.9030**	**5.9613**	**6.1162**	**6.3445**	**6.6256**	**5.8276**
ROR Hydro (2020)							6.1110	**6.1459**	**6.1975**	**6.3535**	**6.5881**	**6.8852**
ROR Hydro (2021)								6.1110	**6.1459**	**6.1975**	**6.3535**	**6.5881**
ROR Hydro (2022)									6.0804	**6.1152**	**6.1664**	**6.3216**
ROR Hydro (2023)										6.0500	**6.0846**	**6.1356**
ROR Hydro (2024)											6.0198	**6.0542**
ROR Hydro (2025)												5.9897
Solar (2014)	9.68	9.68	9.7015	10.0661	10.4788	10.9441	11.2758	**10.5513**	**10.2758**	**10.8507**	**11.7776**	**12.0074**
Solar (2015)		8.69	8.7093	9.0366	9.4071	9.8248	10.1226	**9.4722**	**9.2249**	**9.7410**	**10.5731**	**10.7794**
Solar (2016)			8.6900	8.7093	9.0366	9.4071	9.8248	**10.1226**	**9.4722**	**9.2249**	**9.7410**	**10.5731**
Solar (SACASUN)									8.6900	**8.7093**	**9.0366**	**9.4071**
Wind (2014)	8.53	8.53	8.5525	8.8442	9.1905	9.5907	9.8976	**9.1940**	**9.0053**	**9.4960**	**10.2946**	**10.5178**
Wind (2015)		7.4	7.4195	7.6725	7.9730	8.3202	8.5864	**7.9760**	**7.8124**	**8.2380**	**8.9308**	**9.1245**
Bangui (2014)	5.96	5.96	5.9757	6.1795	6.4215	6.7011	6.9156	**6.4239**	**6.2921**	**6.6349**	**7.1929**	**7.3489**
Vivant (2020)							5.6715	**6.5148**	**5.9356**	**5.9026**	**6.2015**	**6.7014**

This Resolution takes effect immediately upon its publication in a newspaper of general circulation in the country or in the Official Gazette.

Let copies of this Resolution be furnished to the University of the Philippines Law Center – Office of the National Administrative Register (UPLC-ONAR) and all parties concerned.

Pasig City.

(On Official Business)
FRANCIS SATURNINO C. JUAN
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**Deliberated and approved during the 26 November 2025 Commission Meeting.*